



QXO

Post April-11th Pricing Governance Changes and Expectations

2026/04/7

Agenda

1. Review **change management support** and reporting cadences
2. Review how we will **approach overrides, deviations, spend class changes, and market price changes** going forward



1. Change Management: Additional support for next 2 week



Daily office hours (RVP/SDs)

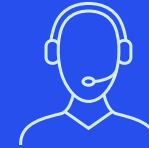
Daily call (BM/SM's added once per week with separate division calls)

Purpose: Answer pricing questions and provide immediate response to any issues identified by the field



Daily pricing team huddle

Purpose: Identify and address common issues, trends, and customer response across regions



On-call support

First line of support:

Your local Pricing Analyst

Second line of support:

Ed Brown on QXO Teams or ed.brown-CON@QXO



1. Change management cadences: Leadership involvement will connect high level pricing decisions to front-line execution

Event	Description	Our ask of you
Daily Override Report to Leadership (<i>BMs, SMs, SDs, RVPs</i>)	Leadership will receive a report with the details of transactions outside of pricing corridors	Spot and correct overrides with reps as they are happening
Daily: Office Hours (<i>Pricing, RVP, SD</i>)	Leadership and pricing teams will provide a dedicated hour block to answer sales rep questions	Participate in office hours as needed; disseminate updates to team
Weekly: Pricing & Leadership (<i>DPs</i>) Feedback Session	Pricing and sales meet to discuss sales rep concerns, review customer feedback, and determine refinements to price implementation	Come to the meeting with feedback on customer response, sales rep concerns, and recommended refinements identified throughout the week
Weekly: Pricing team performance review (<i>Pricing analysts</i>)	Extended pricing team meets to review performance, debrief changed governance, and provide support to reinforce price change	Support your pricing analyst's new involvement in the deviation review process; see them as leverage to achieve margin impact
Thursdays: Weekly Performance Review (<i>RVPS, DPs, SDs</i>)	Leadership will review the performance dashboard to identify performance gaps at the region, branch, and rep level	Follow up with regions, branches, reps who are driving performance gap; coach them and problem solve how to close gap
Adhoc: Targeted training and support	Reps with consistent underperformance on pricing will be followed up with targeted training and coaching	Proactively identify sales reps and branches where you believe extra support is warranted; Participate in the training and coaching effort

2. Governance – approvals: We will standardize the approval process and increase pricing analyst role in reviewing requests

How should we approach changes to the following going forward (residential and shingles only)

Existing deviation	New deviation	Spend class (i.e., from C → A)	Market price
You and your pricing analyst must check the following			
What % change is it vs existing deviation?	- Have you fully set up the new customer (with spend class)? - What is the revenue expected (competitive or historical spend)? - What is the % change vs market price?	Does it meet the requirement for the requested spend class? (by growth, size, frequency)	Short term: Was there a mistake during the price review exercise? Long term: Is there evidence the market has shifted?
Thresholds and approvers going forward:			
0-1% discount → BM and SM approve 1-3% → RVP and SD approve >3% → RVP and Sales VP approve	- If expected revenue is small → Market Price - If >3% off target by line item → RVP and SD must approve	Existing customers: 1 level change → RVP and SD 2 level change → RVP and Sales VP must review - Changing D to A → No! New customers: RVP and SD approve B customers; RVP and Sales VP approve A customers	- RVP and Sales VP must approve changes - If >5% → DP must review

Main message: Work with your pricing analyst & RVP to ensure you are adhering properly to the new guidelines

2. Governance – approvals: Overrides should have escalating approvals to reduce margin loss

Shingles and residential (does not include commercial)

Before reviewing override requests, confirm rep offered market price first before suggesting an override (market prices are now accurate due to reset)

What if my rep wants to override within the price corridor?

This is ok! No action

What if my rep wants to override outside of the price corridor?

What are the conditions of the deal that require a lower price?

Overrides <3% off target price by line item → approved by BM and SM

Overrides >3% off target price by line item → approved by SD and RVP

What if a rep asks to override a deviation?

Deviations are already discounts off market price, further overrides to a deviation are not allowed

Overrides will be tracked in daily override report and collected into central leadership dashboard that tracks count, depth, and margin lost from overrides

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